GE Vernova (GEV)

Fundamental analysis & five-year outlook | July 15, 2026 | Price $1,056.73 (intraday, 7/15/26) | Market cap ~$284B | Spun from GE April 2024 — short public history

The one-paragraph version. GE Vernova is a genuinely exceptional business — the largest installed base of gas turbines on earth, a decades-long services annuity beneath it, and the two segments (Power and Electrification) that sell the single scarcest inputs to the AI build-out: firm power and grid equipment. The stock has roughly doubled in a year and trades at about **80× my estimate of 2026 clean earnings**. The market is not wrong about the business; it is pricing the margin ramp — adjusted EBITDA margin of 8.4% in 2025, guided to 20% by 2028 — as if it is already banked. **The crux: at $1,057, my base case (management roughly delivers) returns ~3%/yr; to earn a market 10% you have to underwrite the bull case — roughly $80–90B of revenue by 2031 at 24% margins.** This is a wonderful company at a demanding price, and the risk/reward from here is skewed to the downside unless the AI-power cycle runs hotter and longer than management's own targets. **My call: put it on the sheet as a buy-on-weakness, not a buy-here — and note it stacks on the AI-capex exposure you already run.**

1. History, business model, and revenue mix

The short history

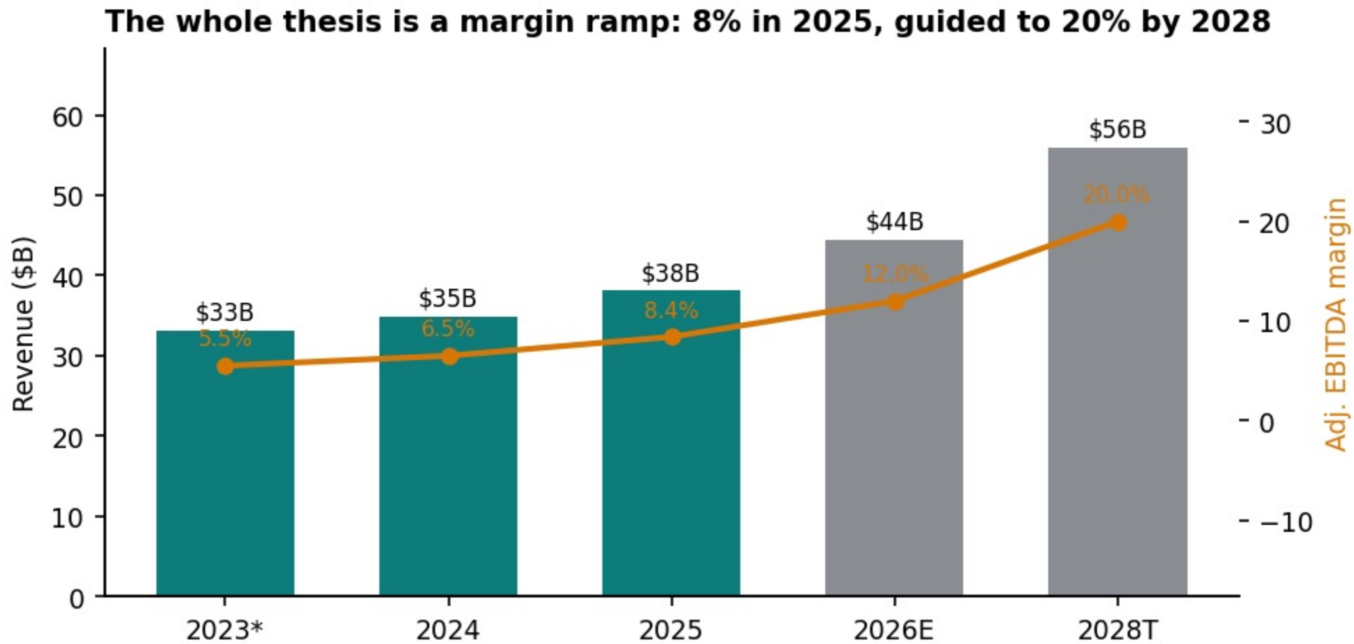
GE Vernova is the power third of the old General Electric, spun out as a standalone public company on **April 2, 2024**, alongside GE Aerospace (the former GE HealthCare having separated earlier). It inherited GE's power franchise outright: the largest installed base of gas turbines in the world — **886 GW of gas, and 2,206 GW across gas, nuclear, hydro and steam**. CEO Scott Strazik has run it since the spin. The last two years are a re-rating story: a business the market once treated as conglomerate leftover became "the pick-and-shovel of AI power" as data-center electricity demand collided with a grid that cannot keep pace. In January 2026 the company consolidated the remaining 50% of **Prolec GE**, its transformer joint venture — booking a large one-time gain and, more importantly, buying scarce transformer capacity in a bottlenecked product.

Business model

Three segments. **Power** is the crown jewel: heavy-duty gas turbines sold as lumpy, long-cycle equipment, each of which seeds decades of high-margin parts and servicing on an enormous installed base. **Electrification** — transformers, switchgear, HVDC, grid software — is the fastest grower, selling the grid hardware that data centers and utilities are scrambling to procure. **Wind** — onshore and offshore turbines — is structurally challenged and still loss-making. The economics turn on one thing: equipment is lower-margin at the point of sale but converts a **$163B backlog** into years of visible revenue, with services carrying the profitability. The investment case is not the revenue line — it is whether the blended margin climbs the way management says it will.

Segments and revenue mix

Segment	~2025 revenue	% of total	2026 guided EBITDA margin	Momentum
Power	~$19–20B	~51%	16–18%	**+16–18% organic (2026E)**
Electrification	~$9–10B	~25%	17–19%	**$13.5–14.0B guided 2026 (incl. ~$3B Prolec)**
Wind	~$8–9B	~23%	~ –5% (≈ –$400M)	**Organic down low-double-digits**



Sources: GEV 4Q'25 & 1Q'26 8-Ks (Jan 28 & Apr 22, 2026); FY2026 guidance and 2028 outlook per the 4Q'25 release. 2023 is combined/carve-out (pre-spin). 2026E and 2028T are greyed as guidance; 2027 omitted (management gives 2026 and 2028 targets, not 2027). Segment revenue splits are my estimates from segment growth guidance.

2. Moat and competitive landscape

Where the moat is real

- **Gas-turbine oligopoly.** There are effectively three credible makers of heavy-duty gas turbines on earth — GE Vernova, Siemens Energy and Mitsubishi Heavy. Customers are now reserving factory slots years in advance; GEV expects gas-turbine backlog plus slot reservations to reach **at least 110 GW by year-end 2026**. You cannot conjure this capacity quickly, and that scarcity is pricing power.
- **A services annuity you can't dislodge.** An 886 GW installed base throws off decades of parts and servicing revenue. You service the turbine you bought, from the company that built it — switching costs are near-absolute, and this is the steadiest, highest-margin cash in the business.
- **Certification and lead-time barriers in grid gear.** Transformers and HVDC systems carry multi-year lead times and deep qualification hurdles. Prolec adds capacity in exactly the product the grid is short of.

Where the moat is thinner than the bulls admit

- **Wind is a live value-destroyer, not a rounding error.** It is ~23% of revenue and losing ~$400M a year, with offshore execution risk on top. "Focusing on what we can control in Wind" is management-speak for "still bleeding."
- **The order surge is cyclical, and slot reservations are not firm orders.** A meaningful slice of the backlog reflects peak-cycle enthusiasm for AI power. A data-center capex pause would hit new orders quickly, and reservations can soften before they convert.
- **Two years of standalone history.** The 20%-by-2028 margin target is management's projection, not a track record. There is no through-cycle standalone data to lean on.
- **Competition wants the same slots.** Siemens Energy has re-rated on the identical thesis and is bidding hard for the same data-center and grid demand.

Peer comparison (7/15/26, intraday)

Company	Market cap	Trailing P/E	2025 rev growth	Position vs GEV
GE Vernova (GEV)	~$284B	31×*	+9%	Gas turbines + grid; the purest AI-power play
Eaton (ETN)	~$160B	41×	+10%	Higher-quality, more diversified electrical; ~32× fwd, cheaper
Quanta Services (PWR)	~$98B	91×*	+20%	Grid contractor; fastest revenue, thinnest margins (~8% ROIC)
Siemens Energy	—	—	—	Direct gas-turbine rival; re-rated on the same thesis

Source: Robinhood live quotes, 7/15/26 intraday. *Trailing P/E for GEV and PWR is distorted by non-operating items (GEV) and heavy acquisition amortization (PWR) — see §5. Siemens Energy figures not pulled same-day; shown for context only.

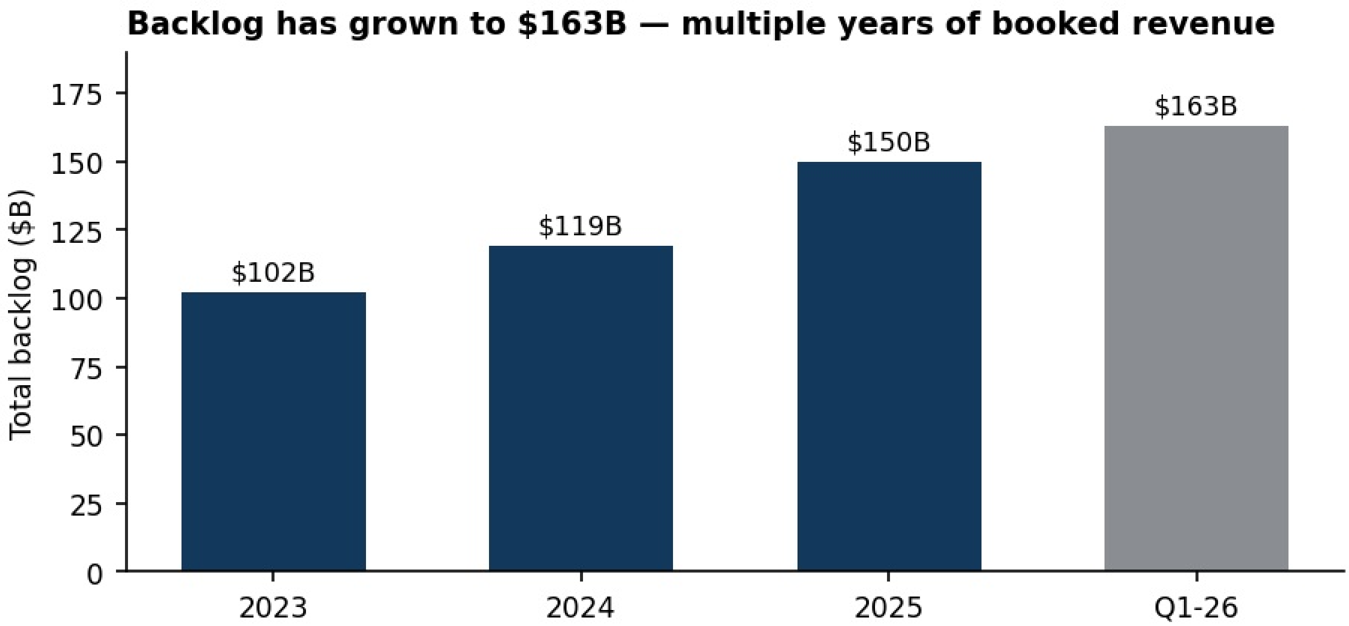
3. Growth drivers

Driver 1 — Data-center power demand (proven, compounding)

US data-center power demand is running from roughly 50 GW (2024) toward ~76 GW (2026), and AI-specific data-center electricity consumption grew ~50% in 2025. GEV sells the two things this demand physically requires: firm, dispatchable power (gas turbines) and the grid equipment to move it. The proof point is already in the numbers — Electrification booked **$2.4B of data-center equipment orders in Q1'26 alone, more than in all of 2025**. This is not a slide-deck TAM; it is showing up in orders now.

Driver 2 — Grid replacement and the transmission bottleneck (proven, compounding)

The US needs ~5,000 miles of high-voltage transmission a year and built under 900 in 2024; the installed grid is aging and transformers are scarce. Electrification revenue is guided to $13.5–14.0B in 2026. Prolec deepens GEV's position in the single most bottlenecked component.



Sources: GEV 4Q'25 & 1Q'26 8-Ks. Backlog figures are total company backlog; 2023–2024 approximate from disclosed year-over-year growth ($31.2B growth in 2025 to $150B; +$13B in Q1'26 to $163B).

Driver 3 — The services annuity (proven)

Decades of high-margin servicing on the installed base. Unglamorous, sticky, and the ballast under the equipment cycle.

Driver 4 — Nuclear/SMR and decarbonization (optionality — zero in my base case)

The BWRX-300 small modular reactor and carbon-capture work are real and strategically interesting, but years from material revenue. **I assign them zero in the base case and say so;** they are upside, not thesis.

4. Capital allocation

Item	Detail
Capex	~$4B committed through 2028, expanding Power and Electrification capacity where demand is supply-constrained
R&D	~$5B committed through 2028 (SMR, grid, decarbonization)
Dividend	Token (~0.2% yield). Management is signalling reinvestment > payout — correct for a growth company
Buyback	$3.6B returned to shareholders in 2025; $1.4B in Q1'26 — an active multi-year repurchase
M&A	Consolidated Prolec GE (bought in remaining 50%) — strategic, in a bottlenecked product; source of the Q1'26 one-time gain
Balance sheet	~$9–10B cash, net cash position, investment grade (BBB, Fitch)

The honest read: management is doing the right things — pouring capital into capacity where the shortage is real, making one clearly strategic acquisition, and running a net-cash balance sheet. Reading the actions: capacity expansion plus Prolec says they believe the demand is durable and supply-constrained, and I'd agree. **The one caution is the buyback — repurchasing stock at ~80× earnings is expensive;** I'd rather they lean into capacity capex than buy back shares at this multiple.

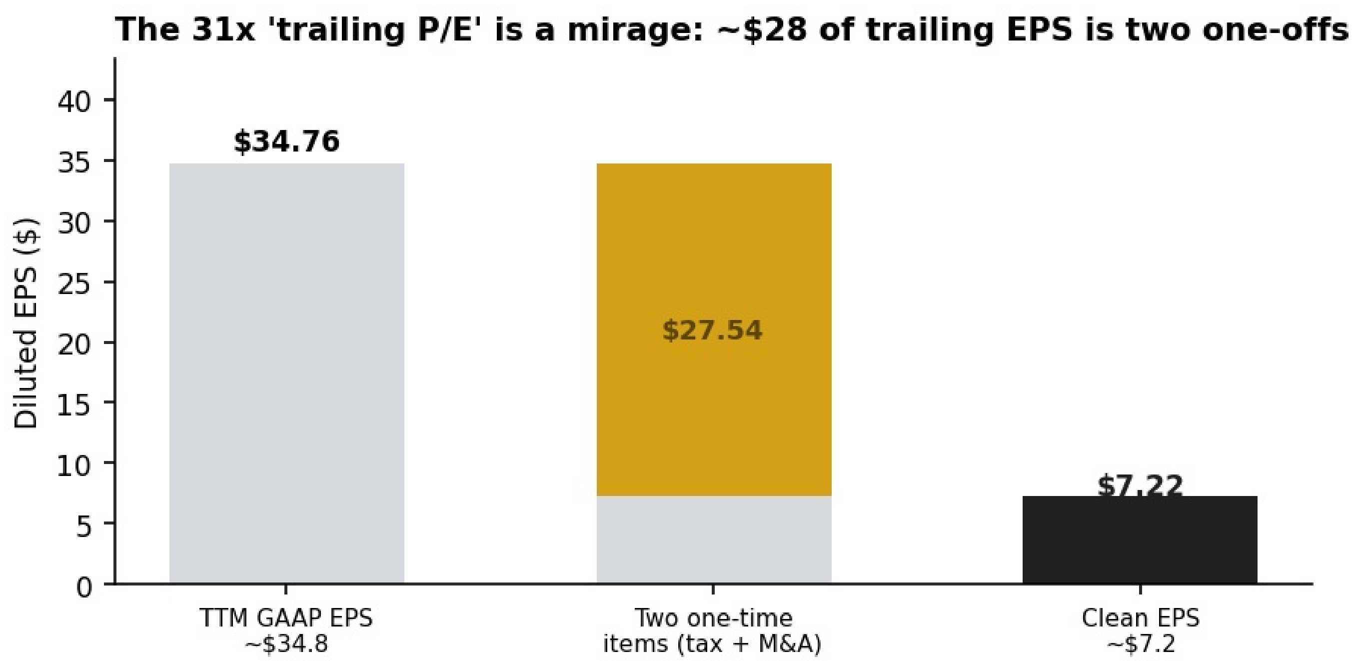
5. Financial deep dive

Five-year record

Fiscal year	2023*	2024	2025	2026E	2028T
Revenue ($B)	~33.2	~34.9	38.1	44–45	56
Organic growth	—	~+5%	+9%	~+17%	low-teens
Adj. EBITDA margin	~5.5%	~6.5%	8.4%	11–13%	20%
Free cash flow ($B)	—	~1.7	3.7	5.0–5.5	≥24 cum.
Backlog ($B)	~102	119	150	163 (Q1)	—
Clean EPS (my est.)	—	~4	~7	~13	~30

Revenue CAGR 2025→2028T ~13.7%; adj. EBITDA margin expansion 8.4% → 20% is the entire equity story. 2023 is combined/carve-out (pre-spin, April 2024). "Clean EPS" is my model off adjusted EBITDA, not a company-reported figure — see below. 2026E/2028T are company guidance/targets.

> **The 31× "trailing P/E" is a mirage.** Trailing-twelve-month GAAP net income of ~$9.3B implies ~$34.8 of EPS and a ~31× P/E — the number the screens show. But it contains two disclosed, non-operating items: a **$2.9B U.S. tax-benefit** (valuation-allowance release, FY2025) and a **$4.5B pre-tax M&A gain** from consolidating Prolec (Q1'26). Strip both and clean TTM earnings are ~$1.9B — **clean EPS of roughly $7.2, a ~145× trailing multiple.** The honest lens is forward: ~80× my 2026E clean EPS (~$13), falling to ~35× on the 2028 target (~$30). Both one-time figures are company-disclosed; the after-tax split on the Prolec gain is my estimate.



Sources: GEV 4Q'25 8-K (tax benefit) and 1Q'26 8-K (Prolec M&A gain); share count per Robinhood (268.7M). Clean figure is my calculation.

Key metrics — current

Metric	Value	Comment
Price / market cap	$1,056.73 / ~$284B	Intraday 7/15/26; 52-wk range $530–$1,196
Trailing P/E (GAAP)	~31×	**Distorted** — inflated by ~$7.4B one-time gains; ignore it
Forward P/E (2026E clean, mine)	~80×	The honest current multiple
P/E on 2028 target (mine)	~35×	If management hits $56B at 20% margin
EV / adj. EBITDA (2025 / 2026E / 2028T)	~87× / ~52× / ~25×	The multiple only looks sane on numbers three years out
FCF (2025 / 2026E)	$3.7B / $5.0–5.5B	Real cash, and it exceeds clean net income — see below
Net cash	~$6B (est.)	Investment grade; funds capex + buyback comfortably
Dividend yield	~0.2%	Irrelevant to the case; not why you'd own it
ROIC / ROE (reported)	omitted	**Uninterpretable this year** — the same $7.4B of one-off gains sit in the numerator. Underlying returns are genuinely high but not the 35%/76% the screens show

Sources: Robinhood 7/15/26; GEV filings. ROIC/ROE omitted deliberately — that they're uninterpretable this year is itself the finding.

Owner earnings / cash-flow quality

Unusually for a company this expensive, the cash is real: FCF was $3.7B in 2025 and is guided to $5.0–5.5B in 2026, **above** my clean net-income estimate. The reason is favorable — a booming order book brings customer down-payments, a working-capital tailwind. The caveat is the mirror image: **if orders decelerate, that working-capital tailwind reverses,** so today's FCF is high-quality but partly a function of the booking cycle. The crux for value is the terminal margin, so here is the sensitivity that matters:

2028 adj. EBITDA margin	EBITDA (on $56B)	EPS (my model)	P/E at $1,057	Read
16% (ramp underdelivers)	~$9.0B	~$23	~45×	Still expensive three years out
20% (management target)	~$11.2B	~$30	~35×	Full, but defensible for the growth
24% (ramp beats)	~$13.4B	~$36	~29×	The number bulls underwrite

Illustrative only. Holds revenue at the $56B target and flexes only the margin. The takeaway is the shape: even hitting the 20% target leaves the stock at ~35× 2028 earnings today — you are paying now for a margin that arrives in three years.

6. Key risks and red flags

Risk	Severity	Assessment & what to watch
Multiple compression	**HIGH**	At ~80× 2026E clean EPS, a de-rate to even 40× halves the stock with no change in fundamentals. Watch forward P/E vs. the growth it's discounting.
AI-capex cyclicality	**HIGH**	Slot reservations aren't firm orders; a data-center capex pause hits the book fast. Watch quarterly organic order growth — the first sub-20% quarter is the tell (it was +71% in Q1'26).
Margin-ramp execution	MED-HIGH	8%→20% is guidance, not history. If 2026 lands below ~11% or 2027 stalls under ~15%, the whole valuation slips.
Wind losses	MEDIUM	~$400M annual drag, offshore execution risk. Watch the segment loss shrinking toward zero.
Gas-turbine delivery	MEDIUM	Unprecedented volume straining manufacturing; delivery slips or warranty charges would dent the services story. Watch on-time delivery and any charges.
Short standalone history	LOW-MED	Two years public; no through-cycle data.
"Clean-energy transition" risk to gas	**LOW (overstated)**	I think the market *overstates* this near-term. Firm, dispatchable power is exactly what data centers need, and the gas backlog is booked years out; a policy shift wouldn't unwind reserved slots quickly.

Red flag worth its own paragraph: the trailing numbers everyone quotes are wrong.

GEV's screen-level metrics are actively misleading right now. The trailing P/E (~31×), the Q1 net margin (50.9%), the ROE (~76%) and ROIC (~35%) all sit on a trailing-twelve-month net income of ~$9.3B that includes a **$2.9B tax benefit** and a **$4.5B Prolec M&A gain** — roughly $7.4B, or three-quarters of the total, that is non-operating and will not repeat. This is fully disclosed in the filings; it is not fraud. But it means every screen and most headlines are quoting a company that looks twice as profitable and half as expensive as it is. **Stripped of spin: GEV is a ~80×-forward-earnings stock wearing a ~31×-trailing costume.** Anyone sizing a position off the trailing multiple is underwriting a number that doesn't exist.

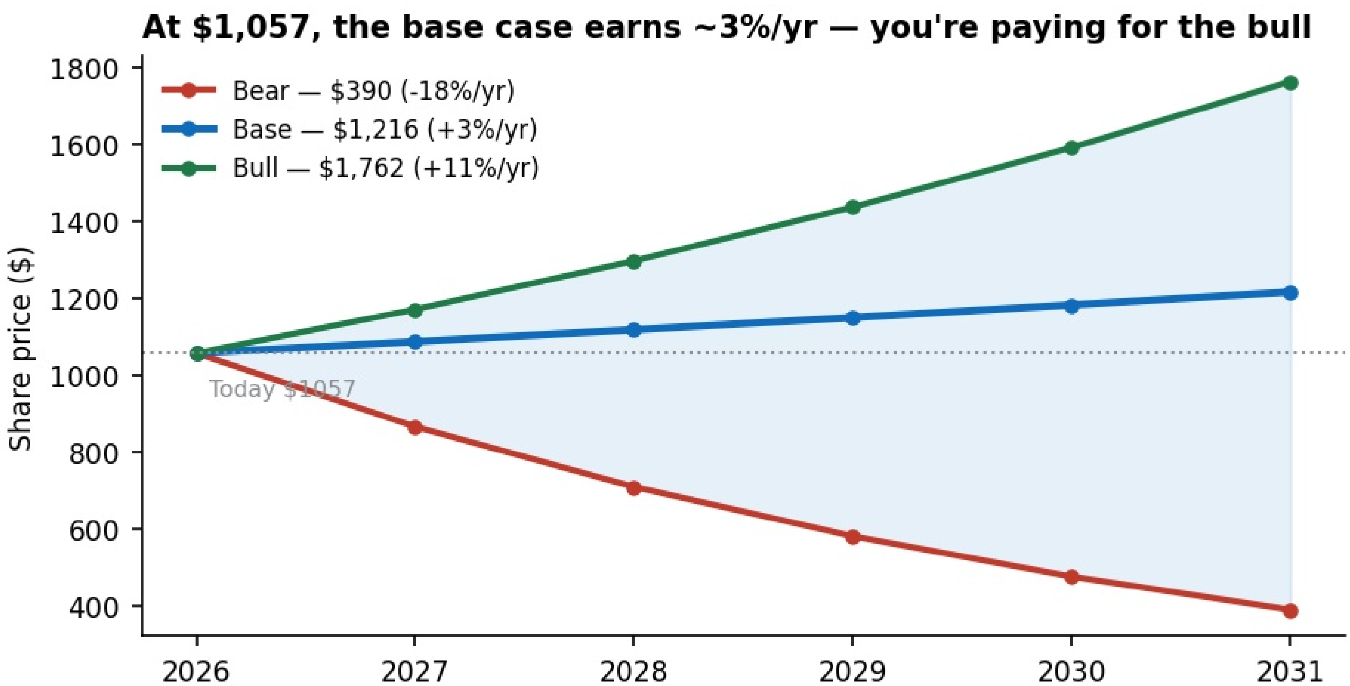
7. Valuation and five-year outlook

The setup. You are being offered the best-positioned company in the AI-power trade — real oligopoly, real backlog, real cash — at ~80× my 2026E clean earnings and ~52× forward EV/EBITDA, after a ~100% run in twelve months. That is a price that requires the future to go right, and mostly to go right on schedule.

Five-year scenarios (hold to end-2031)

Scenario	2031 rev	EBITDA margin	EPS	Exit P/E	Price	5-yr IRR
Bear — AI capex cools, orders roll over, margin stalls at ~15%, de-rate	~$52B	15%	~$19	20×	$390	**-18%/yr**
Base — management roughly delivers 2028, grows to ~$72B, multiple normalizes	~$72B	22%	~$43	28×	$1,216	**+3%/yr**
Bull — super-cycle sustains, SMR optionality begins, margins beat	~$82B	24%	~$55	32×	$1,762	**+11%/yr**

IRR includes the (negligible) dividend. **My assumptions, not consensus.** Probability-weighted (30% bear / 45% base / 25% bull), expected IRR is roughly **-1%/yr** — the asymmetry, not the midpoint, is the point.



What is priced in at $1,057?

Run it backwards. To earn a market **10%/yr for five years**, GEV needs to reach roughly **$1,700 by 2031**. At a 28× exit that requires ~$61 of EPS — about **$90B of revenue at 24% margins**, a 15% revenue CAGR from 2025 sustained for six years. At a richer 32× exit you still need ~$80B. In other words, **the market is already pricing the bull case as the base.** The base case — management hits $56B at 20% in 2028 and grows to ~$72B by 2031 — earns only ~3%/yr, because the multiple has to normalize from ~80× toward ~28× as growth decelerates. You are not paid much for being right, and you are punished hard for being wrong.

Fit with your portfolio's growth objective

> **Yield (~0.2%) is irrelevant** — as expected given your pension floor; this is a total-return holding or nothing. **Your 10-year horizon is a genuine edge here:** this is a long-cycle backlog story that pays out over years, and you can hold through a cyclical order wobble that would force a trader out — GEV is more investable for you than for most. **But watch the correlation.** GEV concentrates the AI-capex bet you already carry through AVGO, SOXQ, the hyperscalers, and even the AI-supply-chain names (TSMC, ASML) inside the VXUS you're building. It is a different link in the chain — power, not compute — but the same cycle; size it as deepening, not diversifying, your single largest theme. **And this is precisely why GRID doesn't express this view:** GEV is only ~1% of GRID, so a GRID position gives you almost none of it — direct ownership is the only way to get the weight, at the cost of single-name risk. Tax location is a non-issue: ordinary growth equity, negligible distribution — the taxable account is fine (unlike your REITs).

The three things to actually watch

1. **Quarterly organic order growth.** +71% in Q1'26. The thesis holds while orders compound; the **first sub-20% organic-orders**

quarter is your early warning the capex cycle is cooling. First read: July 22.

2. **Adjusted EBITDA margin trajectory.** 8.4% (2025) → 11–13% guided (2026) → 20% (2028). If 2026 prints below ~11%, or 2027 stalls under ~15%, the margin thesis — which *is* the valuation — is slipping.
3. **The July 22, 2026 print (six days out).** Watch orders, backlog, and whether they raise 2026/2028 guidance *again*. A beat-and-raise justifies the multiple for another quarter; any wobble into an ~80× stock is a sharp air-pocket.

Bottom line

GEV is the real thing — a genuine oligopoly in the scarcest input to the AI build-out, a services annuity underneath it, and a management team executing well against a booked-out order book. If you are buying the AI-power theme, this is the highest-quality way to do it, and your pension-backed, 10-year, growth mandate is exactly the profile that can hold a long-cycle name like this through the volatility. On business quality, I'd rank it at or near the top of the entire electrical/power complex — above Eaton on growth and positioning, well above Quanta on economics.

But quality isn't the question here — price is. At $1,057 the stock already discounts management hitting its 2028 targets; my base case earns ~3%/yr and I have to reach for the bull case to justify a market return, while the bear case takes it down ~60%. That asymmetry, into a company reporting in six days at ~80× forward earnings, is not where I'd initiate. **My call: put GEV on the sheet as a buy-on-weakness, not a buy-here.** I'd start a starter position on a meaningful pullback — call it sub-$900, back toward where it traded in Q4 2025 — or after a print that resets expectations, and I'd size it knowing it stacks on the AI-capex exposure you already run. It's a company I want to own. I just want a better entry than the one the tape is offering today.

Sources & disclosures. Primary: GE Vernova Form 8-Ks — 1Q'26 (Apr 22, 2026), 2Q'25, 4Q'25/FY2025 (Jan 28, 2026); FY2024 results (Jan 22, 2025); DEF 14A (2026); Form 10-12B (spin, 2024); 10-Q (Sept 30, 2025). Market data: Robinhood live quotes, July 15, 2026 (GEV $1,056.73; ETN $411.54; PWR $650.42). Secondary/triangulation: stockanalysis.com and Simply Wall St (consensus, valuation ratios); IEA and press coverage (data-center demand). Consensus forward figures used only for cross-check, not as primary inputs.

Known uncertainties, stated plainly: (1) Segment revenue splits are my estimates from disclosed segment growth guidance, not reported line items. (2) "Clean EPS" is my model derived from adjusted EBITDA, D&A, tax and share-count assumptions — not a company-reported number; treat it as a shape, not a decimal. (3) I treated the $4.5B Prolec gain as roughly pre-tax ≈ after-tax; the exact after-tax figure is my estimate. (4) 2023–2024 revenue is approximate; 2023 is combined/carve-out and not directly comparable to post-spin figures. (5) Net cash (~$6B) is estimated from reported book value and leverage, not a pulled balance-sheet line. (6) All scenario inputs — growth, margin, exit multiple, share count — are my assumptions and will be wrong in ways I can't anticipate. (7) Every price and multiple here is as of 7/15/26 intraday and will be stale immediately; **GEV reports Q2 on July 22, 2026, which will move all of it.**

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside your existing AI-capex concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.